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7.03 Features of Cooperatives

The following are some of the important principles of co-operative societies.

i. Voluntary Membership

Any person can become the member of the society and can leave it any time.

ii. Equal Rights

Each member of the society has an equal right to vote and ownership. Each shareholder has one vote.

iii. Democracy

The principle of democracy is adopted while making the decisions. The decision of the majority is honored.

iv. Honesty

It is the basic principle of this society. Its members should be honest. Selfish people can not run the business of cooperative society.

v. Mutual Confidence

The foundation of Cooperative society is laid on mutual confidence. Members of the society should trust each other and work like a team.

vi. Welfare Main Objective

Its main objective is to provide goods and services to its members at lower price.

vii. Cash Payment

Credit team is prohibited and goods are supplied to its members on cash payment.

viii. Economy

The member of the society should act upon the principle of economy. They should not misuse capital of the society and always keep in view best interest of the society.

ix. Distribution of Profit

The profit can be distributed among the members according the cooperative act. One fourth (1/4) of the profit can be kept in reserve. Then (10%) of the profit can be used for providing facilities to the members.

x. Self Service

All the business activities are conducted by the members themselves. All are the owner and all are the consumers. So self service rule is employed in the organization.

7.04 Advantages and Disadvantages

Advantages

The following are some of the important advantages of co-operative societies.

i. Voluntary organization

The membership of a cooperative society is open to all. Any person with common interest can become a member. The membership fee is kept low so that everyone would be able to join and benefit from cooperative societies. At the same time, any member who wants to leave the society is free to do so. There are no entry or exit barriers.

ii. Easy formation

Cooperatives can be formed much easily when compared to a company. Any 25 members who have attained majority can join together for forming a cooperative society by observing simple legal formalities.

iii. Democracy

A co-operative society is run on the principle of 'one man one vote'. It implies that all members have equal rights in managing